policy. The fiscal and monetary arms of Government are its chief instruments of economic activity. If these are conceived in a timid or inadequate manner, the resources of the economy cannot be mobilized effectively for development.

It cannot, in all candor, be said that the Government of Palestine has been imbued with more than the faintest conceptions of the large and bold innovations in domestic and international economic policy that will be required if rapid economic growth is to be assured in the next decade.

REQUIREMENTS AND SOURCES OF CAPITAL

Capital will be required in Palestine during the next decade (a) to equip the natural growth of both the Arab and Jewish populations, (b) to raise the productivity of the Arab population, and (c) to provide houses, farms, factories, etc. for new immigrants. (We assume for the Jewish population only such equipment as would be required to maintain their standard of living at the prewar level.) In the case of net immigration of only 615,000 Jews, about £P 475 million ($1,900 million) of capital would be required, while if Jewish immigration reached 1,125,000 the capital required would be approximately £P 675 million ($2,700 million).

These capital requirements are exclusive of the amounts that Jews will have to pay Arabs for land. The fixing of an equitable level of land prices and the securing of adequate land transfer for development purposes are perhaps the most delicate questions of public policy that a development-minded Government must confront in the next decade.

The following table gives a summary statement of the purposes for which capital will be required: